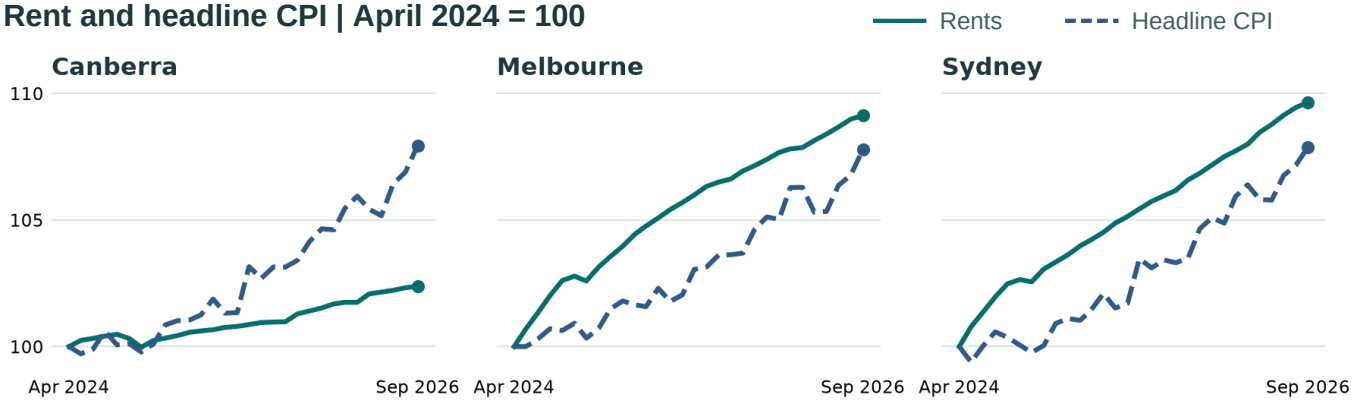
APPLIED ECONOMICS

Rent and inflation across three cities

Jiahui Zhang | Canberra, Melbourne and Sydney | September 2026

Rent growth trailed local inflation in all three cities in the latest year. Over the full monthly window starting in April 2024, rents outpaced headline CPI in Melbourne and Sydney. Canberra's rents lagged CPI over both windows.

Rent and headline CPI | April 2024 = 100



Canberra | Widest gap below local inflation. Annual rent inflation went from 0.65% to 1.40% between September 2025 and September 2026. Since April 2024, rents rose 2.38% and local CPI rose 7.94%. Rent growth lagged local CPI over both the latest year and the full monthly window.

Melbourne | Rent inflation slowed. Annual rent inflation went from 3.62% to 2.47% between September 2025 and September 2026. Since April 2024, rents rose 9.13% and local CPI rose 7.77%. Rents outpaced CPI over the full monthly window, even as annual rent inflation cooled.

Sydney | Fastest rent growth in the latest year. Annual rent inflation went from 3.22% to 3.48% between September 2025 and September 2026. Since April 2024, rents rose 9.64% and local CPI rose 7.88%. Sydney also posted the largest cumulative rent increase since April 2024.

Cross-city comparison | September 2026

City	Rent YoY	CPI YoY	YoY gap	Gap since Apr 2024
Canberra	1.40%	4.65%	-3.25 pp	-5.56 pp
Melbourne	2.47%	4.01%	-1.54 pp	+1.36 pp
Sydney	3.48%	4.31%	-0.83 pp	+1.76 pp

Historical check. In separate quarterly data, rents lagged CPI in all three cities from December 2019 to September 2025. Starting in September 2022, rents outpaced CPI in Melbourne (+6.07 pp) and Sydney (+8.26 pp).

Measurement. Gaps are rent growth minus local all-groups CPI growth. Rent indexes track prices paid by new and existing tenants. They do not compare weekly rent levels or affordability. All-groups CPI includes rents. ABS changed its rent data source in July 2022.